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Management Discussion & Analysis - SynCo Industries Ltd. (fictional), FY 2025-26

The company faces growing liquidity concerns as operating cash flows have weakened for three consecutive quarters and working capital pressure has intensified. Revenue declined 18% year-on-year amid falling margins in the core manufacturing segment and softening demand from key customers.

Total borrowings rose sharply during the year as the company drew down its working-capital facilities, increasing refinancing risk ahead of large repayments falling due next year. The auditors have flagged delayed payments to suppliers, and the company breached a covenant on one term loan, which management is currently renegotiating with lenders.

Cost-cutting measures are underway, but with mounting losses and declining revenue, the board continues to monitor the group's going-concern position closely. No dividend has been declared for the year.